Dr. **Sri Ram account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017				2017			
June 25	To Bank A/c		30,000	June 12	By Purchases A/c		30,000
			30,000				30,000

Dr. **Selva account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017				2017			
June 15	To Sales A/c		10,000	June 28	By Bank A/c		10,000
			10,000				10,000

Dr. **Sales account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017				2017			
June 30	To Balance c/d		**25,000**	June 15	By Selva A/c		10,000
				22	By Cash A/c		15,000
			25,000				25,000
				July 1	By Balance b/d		25,000

After posting the journal entries to ledger accounts and extracting the balance of ledger accounts, the trial balance is prepared. Trial balance is a statement which shows debit and credit balances of all accounts in the ledger. It helps to test the arithmetical accuracy of entries made in the journal and ledger.



The three accounting concepts – business entity, duality and money measurement - associated with double-entry book keeping are applied in ledger.

Points to remember

- Left side of the ledger account is Debit [Dr.]
- Right side of the ledger account is Credit [Cr.]
- For each type of asset, liability, expense and income, separate ledger accounts are prepared.
- If the total on the debit side exceeds the total on the credit side, it results in debit balance.
- If the total on the credit side exceeds the total on the debit side, it results in credit balance.
- Closing balance of the current year in the ledger account is the opening balance of the next year.

Self-examination questions

I Multiple choice questions

Choose the correct answer

1. Main objective of preparing ledger account is to
   (a) Ascertain the financial position
   (b) Ascertain the profit or loss
   (c) Ascertain the profit or loss and the financial position
   (d) Know the balance of each ledger account

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